

The SimCo Bulletin



"Better then a dumpster, yet worse then the official!" - The publisher

AD.

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<https://www.reddit.com/r/SimCompanies/comments/1s87fit/>

Contracts VS The Market by Breakthrough gas and electronics

In Sim Companies, players often assume contract pricing is just "market price minus a small discount." For example, if a product trades at \$100 on the exchange, a typical expectation is a contract at \$97–\$99 after accounting for fees and logistics. But this simplification misses the real economic purpose of contracts. They are not just alternative sales channels—they are systems that trade margin for stability, speed, and reduced coordination cost.

On paper, the exchange looks efficient, but it carries hidden costs. A 3% market fee immediately reduces \$100 revenue to \$97, and if transport costs add another ~1–2%, the effective net may fall closer to \$95–\$96. In contrast, a contract at \$96 eliminates listing friction, reduces logistics cost, and often guarantees faster cash collection. So while the price looks "lower than market," the real comparison is not \$100 vs \$96—it is \$95 net market outcome vs \$96 stable contract outcome, plus reduced uncertainty and time savings.

In practice, many contracts are priced at 4–8% below market, even though theoretical savings are closer to 3–4%. For instance, a supplier producing at \$80 cost may sell at \$100 market price but accept \$92–\$96 in contracts. This is not irrational—it reflects opportunity cost. If factory capacity would otherwise sit idle or require constant relisting effort, then accepting \$92 cash immediately can be more valuable than waiting for a \$100 sale that may take longer to execute. Similarly, buyers may accept \$98 contracts over chasing \$95 market dips if it guarantees uninterrupted production.

The real logic behind contract pricing is not percentage-based—it is constraint-based. A producer running at 100% capacity values uninterrupted flow more than peak pricing. For example, a plant producing 1,000 units per cycle might lose far more from a single idle cycle than from a \$3–\$5 per unit discount. On the buyer side, avoiding a production stoppage that costs \$10,000 in lost downstream output easily justifies paying a \$2–\$3 premium per unit. What looks like a pricing decision is actually a risk management decision disguised as a trade.

The most successful players in Sim Companies treat contracts as infrastructure, not transactions. A supplier locking in a steady contract at \$94 instead of chasing uncertain \$100 sales may sacrifice \$6 per unit in theory, but if it improves utilization from 80% to 100%, total revenue often increases significantly. For example, 800 units at \$100 yields \$80,000, while 1,000 units at \$94 yields \$94,000. The contract appears “cheaper,” but it produces higher total output, faster cash cycles, and stronger reinvestment capacity. That is the real source of long-term advantage.

Quality Levels Feel Useless By Appalachian State University

One thing I’ve started thinking about is how products with multiple quality levels should only exist if the higher quality versions actually serve a purpose. If there’s no meaningful difference in how the product is used, then having extra quality tiers just creates unnecessary complexity.

I recently experienced this firsthand after accidentally buying some Q1 steel beams. The issue is that there really isn’t much practical use for higher quality steel beams right now, so demand for them is extremely limited. Even though they’re technically a higher quality product, they don’t really provide additional value compared to Q0 steel beams for most situations.

That leads to a bigger question: if a higher quality version of a product doesn’t improve functionality, efficiency, or usefulness in some way, then why should that quality level exist at all? Right now, it can leave players stuck holding inventory that is harder to sell despite functioning almost identically to the lower quality version.

In my opinion, quality systems work best when they create meaningful decisions. Higher quality products should feel valuable because they offer a real advantage, not simply because they exist. Otherwise, it may make more sense to simplify the system and only keep quality levels for products where quality genuinely matters.

SimCo Meme by DOGAN HOLDING LLC



How to Deal With Noobs by National Reserves

As this game naturally acquires more players, there are, naturally, going to be more noobs. Noob, if you did not know, means someone who has just started the game/has no experience. These

players can be kind and open to learning, or they can aggressively invade the chat and cause chaos. There are many ways to deal with them. Firstly, if they are open/asking for help, you can send them this copy-pasteable “billboard,” which has all the information needed for them. Be sure to @ tag them at the bottom.

~ ♡ :sc: WELCOME TO SIMCO! :sc: ♡ ~

《~questions? Need help?~》

➤ Read the following: ⏪

♠♣ :lib-faq: for any answers you may need

♠♣ :lib-guide-for-beginners: for a general guide to this game

♠♣ :lib-interface-tips: for game layout understanding

➤ Have fun! ⏪

But not all newbies come in excited and happy. Occasionally, the chats get “raided” by groups of schoolchildren most likely forced to play this game, or someone who generally does not want to be civil in the chats. In this case, it is best, like in all scenarios, to NOT INTERACT. Giving them no kindling for their fire will make them be -although not immediately of course- quiet. In the unlikely chance they *do not* stop after a while, or begin being disrespectful, a DM to the mods is in order. That should keep you doing good!

Quotes

“Two things are infinite: the universe and human stupidity; and I’m not sure about the universe ” - Jaws9914

“Is it tonga time? I think it’s tonga time.” - .bear.

Credits to National Reserves for editing, Breakthrough gas and electronics and Appalachian State University for articles, DOGAN HOLDING LLC for the meme, and Jaws9914 and .bear. for quotes.